

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)



Sales
866,750

-57% Last month 2,012,136



Gross Margin
866,750

-57% Last month 2,012,136



Operating Profit
132,244

-94% Last month 2,332,623



Break Even Sales
734,506

329% Last month -320,487



Accounts Receivable
3,955,588

-28% Last month 5,512,204



Accounts Payable
615,119

-53% Last month 1,302,419



Working Capital
3,340,470

-21% Last month 4,209,785



Closing Stock
0

0% Last month 0



Bs Category
53 - SHAKY

-20% Last month 66 - STEADY



Impact Of Decisions
255,735

143% Last month -592,760

1. Big Picture — How the Business Looks Right Now

The business has shown significant volatility in its financial performance over the last eight months. Total Equity and Liabilities started at ₹1.26 crore in April, dipped to ₹61.67 lakh in May, and recovered to ₹1.15 crore by November. Profit after Tax has been inconsistent, with a high of ₹23.89 lakh in October and a loss of ₹3.60 lakh in September. The company maintains a strong cash position, ending November with ₹55.25 lakh in the bank, and has no secured debt on its books.

GREEN FLAG BOX — What's Working Well

- **Strong Profitability in Key Months:** The business achieved a high Net Profit of ₹23.89 lakh in October with a Net Profit % of 118.71, and a solid ₹10.55 lakh profit in May.
- **Robust Liquidity Position:** Cash and Bank Balances remain healthy, standing at ₹55.25 lakh in November, supported by a very strong Current Ratio of 11.78 in the same month.
- **Excellent Return on Capital:** The company delivered an outstanding Return on Capital % of 331.44 in October and a high Return on Equity % of 280.12 in the same month.

RED FLAG BOX — What Needs Attention

- **High Volatility in Profits:** The business recorded a significant loss of ₹3.60 lakh in September, and profits have fluctuated wildly from ₹10.55 lakh in May to ₹2.98 lakh in November.
- **Inefficient Working Capital Management:** Accounts Receivable Days are very high, peaking at 202.77 days in June and remaining elevated at 138.81 days in November, indicating slow collections.
- **Negative Operating Cash Flows:** Cash flows from Operating Activity were negative in several months, including -₹25.04 lakh in October and -₹11.26 lakh in May, straining internal liquidity generation.

Strategic Advice:

Prioritise tightening credit terms and actively managing debtor collections to reduce the dangerously high Accounts Receivable Days. Implement strict monthly reviews of overheads, particularly employee and administrative expenses, to stabilise the volatile profit trend and protect cash flow.

2. Profit Power — The Earning Engine

The business shows a 100% Gross Margin across all months, with Revenue peaking at ₹20.12 lakh in

October,2025. Operating Profit was highest in October,2025 at ₹23.33 lakh, but turned negative in September,2025 at -₹4.40 lakh.

Profitability is significantly impacted by overhead expenses, which were as high as 171.65% of revenue in September,2025. The Net Profit % fluctuated widely, from a high of 118.71% in October,2025 to a low of -58.70% in September,2025.

The company's Return on Equity was exceptionally high in October,2025 at 280.12%, but was negative in September,2025 at -55.14%. Other Non Operating Income provided a consistent boost to the bottom line, reaching ₹1.66 lakh in November,2025.

Strategic Advice:

Stabilise overhead costs, particularly employee and administrative expenses, to prevent the severe profit volatility seen in months like September. Capitalise on the high-margin months by analysing the sales drivers in October to replicate that success.

3. Cash Flow Quality — Profit vs Real Cash

Your reported profit after tax for November,2025 is ₹2.98 lakh. However, the cash generated from core operations (Operating Cash Flow) for the same month is ₹8.69 lakh. This indicates a positive conversion of profit to cash.

A significant portion of your cash is blocked in working capital. Your Accounts Receivable for November,2025 stands at ₹39.56 lakh, which is equivalent to 138.81 days of sales. There is no inventory holding. Your Accounts Payable for the month is ₹6.15 lakh.

The net cash flow for November,2025 is ₹7.98 lakh. Cash flow from financing activity was an outflow of ₹71,044, while cash flow from investing activity was ₹0.

Strategic Advice:

The high debtor days of 138.81 indicate a major cash blockage. Prioritise tightening credit terms and actively following up on collections to unlock cash trapped in receivables and improve liquidity.

4. Cash Management — Daily Cash Rhythm

The Accounts Receivable Days show significant fluctuation, starting at 64.35 days in April, peaking at 202.77

days in June, and ending at 138.81 days in November. Inventory Days are consistently 0 throughout the period, indicating no stock holding. Accounts Payable Days are also 0 for all months.

The Working Capital Days, which represent the cash conversion cycle, follow a similar pattern to Receivable Days. It was 64.35 days in April, reached a high of 202.77 days in June, and was 138.81 days in November. The Working Capital amount varied, from ₹23.30 lakh in April to ₹33.40 lakh in November.

Strategic Advice:

The extended and volatile Receivable Days are the primary driver of your cash cycle. Implementing stricter credit controls and a systematic follow-up process is critical to convert sales into cash faster and stabilize your daily cash rhythm.

5. Growth Investments — Where Money Is Going

The company's capital structure is primarily equity-based. Total Equity was ₹1.22 crore in April, dipped to ₹50.42 lakh in May, and recovered to ₹1.05 crore by November. Fixed Assets remained stable, increasing slightly from ₹17.24 lakh in April to ₹17.82 lakh from August onwards.

Investment in Other Capital has fluctuated, starting at ₹33.47 lakh in April, reaching a low of ₹14.21 lakh in October, and ending at ₹17.90 lakh in November. The Return on Capital % has been volatile, showing high returns of 331.44% in October but a negative -98.36% in September.

Cash flows from Investing Activity were negative in April (-₹17.24 lakh), July (-₹13,500), and August (-₹43,899), indicating periods of asset purchase. The company maintains a strong net cash position, with Net Debt consistently negative, reaching -₹54.01 lakh in November.

Strategic Advice:

The business has a robust equity base and strong liquidity, as shown by negative Net Debt. The volatile Return on Capital, including a significant negative figure in September, suggests investment efficiency is inconsistent. Focus on stabilising the returns from capital employed and ensure future capital expenditures are aligned with clear, profitable growth projects to justify the investment.

6. Funding Story — How Growth Is Being Financed

The company's funding is primarily equity-based. Total Equity was ₹1.22 crore in April and ₹1.05 crore in

November. Unsecured Long-term Borrowings were ₹77,143 from April to August, increasing to ₹1.25 lakh from September onwards. Total Debt remained low, ranging from ₹77,143 to ₹1.25 lakh.

The Debt to Equity ratio was 0.01 for most months, peaking at 0.02 in May and September. The Debt to Capital ratio followed the same pattern. There were no Interest & Bank Charges reported in the P&L, resulting in an Interest Cover of 0 for all months.

Cash flows from Financing Activity show significant volatility. It was a major inflow of ₹1.06 crore in April, followed by an outflow of ₹53.49 lakh in May. Subsequent months saw mixed activity, including an inflow of ₹28.42 lakh in October and an outflow of ₹71,044 in November.

Strategic Advice:

The business is predominantly self-funded with minimal debt, which is a low-risk position. The volatile financing cash flows, especially the large equity infusion in April, suggest shareholder funding is being used to support operations. Consider establishing a more predictable line of credit for smoother working capital management, even though current debt levels are negligible.

7. Balance Sheet Health — Financial Fitness

The company's total equity and liabilities stood at ₹1.26 crore in April and ₹1.15 crore in November. Total equity was ₹1.22 crore in April and ₹1.05 crore in November.

The current ratio was 23.85 in April and 11.78 in November. The quick ratio followed the same pattern at 23.85 in April and 11.78 in November.

The debt-to-equity ratio was 0.01 in April and 0.01 in November. Total debt remained low, at ₹77,143 in April and ₹1.25 lakh in November.

Working capital was ₹23.30 lakh in April and ₹33.40 lakh in November. Accounts receivable days were 64.35 in April and 138.81 in November.

Strategic Advice:

The balance sheet shows a strong equity base and low debt. Focus on reducing the high accounts receivable days to improve cash conversion and working capital efficiency.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the company reduces its overheads percentage from the peak of 171.65% in September to a stable 50%, the monthly net profit could consistently reach around ₹3.19 lakh, similar to July, instead of experiencing losses like the ₹3.60 lakh in September.
- **Scenario B - Cash Focus:** If the Accounts Receivable Days are reduced from the high of 202.77 days in June to below 100 days, the cash flow from operating activity could improve to a positive ₹15.14 lakh as seen in June, reducing reliance on financing activities which showed an outflow of ₹71,044 in November.
- **Scenario C - Balanced:** A combined strategy of maintaining overheads at 50% and reducing debtor days to 100 could yield a stable net profit of ~₹3.19 lakh and generate positive monthly operating cash flow, strengthening the current ratio from lows like 4.11 in May to more robust levels above 10.

9. Operational Insight Engine — Ground-Level Trends

Sales Performance: Monthly sales figures show significant fluctuation. Revenue was ₹12.36 lakh in April, dipped to ₹4.40 lakh in June, and peaked at ₹20.12 lakh in October before settling at ₹8.67 lakh in November.

Customer Credit & Collections: Accounts Receivable stood at ₹26.15 lakh in April, increased to ₹41.71 lakh in May, and was ₹39.56 lakh in November. The Receivable Days were 64.35 in April and 138.81 in November.

Vendor Management & Payables: Accounts Payable was ₹2.85 lakh in April, rose to a high of ₹14.11 lakh in August, and decreased to ₹6.15 lakh by November. Payable Days data shows 0 for all months.

Inventory Management: The Closing Stock and Inventory Days are reported as 0 for all months from April to November, indicating no inventory holding.

Operational Cash Flow: Cash flows from Operating Activity were negative ₹23.30 lakh in April, positive ₹15.14 lakh in June, negative ₹25.04 lakh in October, and positive ₹8.69 lakh in November.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Improve debtor collection to reduce Accounts Receivable Days from 138.81 days. Strengthen cash flow from operations, which was ₹8.69 lakh in November.	Reduce Accounts Receivable Days to below 100 days. Achieve positive monthly operating cash flow consistently.	Enhance liquidity and cash reserves, reducing reliance on external financing and improving the Current Ratio from 11.78.
31-60	Profit	Stabilise monthly Net Profit, which fluctuated from ₹2.98 lakh in November to a high of ₹23.89 lakh in October. Control Overheads, which were 84.74% of revenue in November.	Achieve a steady Net Profit % above 30%. Reduce Overheads % to below 60% of monthly revenue.	Increase retained earnings in Reserve & Surplus (₹90.82 lakh in November) and improve overall Return on Equity % (33.99 in November).
61-90	Growth	Leverage strong Return on Capital % (20.62 in November) and Asset Turnover (1.35 in November) to scale sales. Utilise the high Gross Margin of 100% effectively.	Increase monthly Sales stability, moving beyond the volatility seen from ₹8.67 lakh in November to ₹20.12 lakh in October.	Sustainably grow Total Equity (₹1.05 crore in November) and build capacity for future investment without increasing debt, which is low at ₹1.25 lakh.